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24-CIV-01921

TRUEBECK CONSTRUCTION, INC., ET AL VS. SETH TAYLOR, ET AL

TRUEBECK CONSTRUCTION, INC.
SETH TAYLOR

A ROBERT ROSIN

PLAINTIFF, CROSS COMPLAINANT, and CROSS DEFENDANT, TRUEBECK CONSTRUCTION, INC.'S MOTION FOR APPOINTMENT OF A REFEREE TO TAKE A LONG ACCOUNT PURSUANT TO CODE OF CIVIL PROCEDURE SECTION 639

TENTATIVE RULING:

For the reasons stated below, Plaintiff and Cross-Defendant Truebeck Construction, Inc.'s ("Truebeck") Motion for Appointment of a Referee to Take a Long Account is **GRANTED IN PART**.

The Court finds that a limited reference pursuant to Code of Civil Procedure section 639, subdivision (a)(1), is warranted for examination and reconciliation of the construction accounts relevant to the amounts asserted in Truebeck's and the Trade Partners' mechanics liens. The reference, however, shall be limited to technical accounting matters. The referee shall not determine the legal validity or enforceability of any mechanics lien, the ultimate reasonable value of the work under Civil Code section 8430, or any other legal or equitable issue reserved for determination by the Court.

Selection of the referee and the terms governing compensation are deferred pending compliance with Code of Civil Procedure sections 639 and 640 and California Rules of Court, rules 3.922–3.924, as set forth below.

Truebeck's Request for Judicial Notice is **GRANTED** as to the existence and contents of the identified court records, but not as to the truth of disputed factual matters contained therein. The May 26, 2021 order entered in *Evans Brothers, Inc. v. Proset, Inc.*, Santa Clara County Superior Court Case No. 20CV374917, is a trial court order and is not binding authority.

BACKGROUND

These consolidated actions arise from disputes concerning SmartLabs' lease and an approximately \$80 million tenant-improvement construction project at 750 Gateway Boulevard in South San Francisco. Truebeck served as general contractor, SmartLabs was the tenant, and Defendant and Cross-Complainant BMR-Gateway of Pacific II LLC ("BMR") owns the property. Truebeck and numerous subcontractors and suppliers assert mechanics liens and related claims arising from approximately \$24.36 million in allegedly unpaid construction work. The litigation also includes claims concerning SmartLabs' lease obligations, financing, alleged misrepresentations, indemnity, alter ego liability, and the conduct of various SmartLabs-related entities, officers, directors, and investors.

The accounting implicated by those claims includes multiple Statements of Work, 16 payment applications, retention, change orders, payments from multiple funding sources, and claims by more than 20 subcontractors and suppliers at different contractual tiers.

Truebeck seeks appointment of a referee pursuant to Code of Civil Procedure section 639 to take a long account. As originally framed, the motion requested that the referee determine both the amounts and “validity” of Truebeck’s and the Trade Partners’ mechanics liens.

BMR opposes the motion. BMR argues, among other things, that the mechanics-lien statutes provide a discrete method for determining lien amounts, the size and complexity of the project do not establish a long account, the proposed reference would impermissibly delegate judicial functions, discovery remains incomplete, and the cost of the proposed reference would outweigh any efficiencies.

In reply, Truebeck narrows the proposed scope. Truebeck states that questions of law and ultimate determinations concerning lien validity and reasonable value under Civil Code section 8430 may remain with the Court, while the referee examines the underlying construction accounts and reports factual accounting findings.

LEGAL STANDARD

Code of Civil Procedure section 639, subdivision (a)(1), permits the Court, without the parties’ consent, to appoint a referee “[w]hen the trial of an issue of fact requires the examination of a long account on either side.” In such circumstances, the referee may be directed to hear and decide the issue or report upon specified questions of fact. Section 639, subdivision (a)(2), separately authorizes a reference when the taking of an account is necessary for the information of the Court before judgment.

A long-account reference is not limited to an action formally pleading an accounting cause of action. (*United States Fidelity & Guaranty Co. v. Superior Court* (1988) 204 Cal.App.3d 1513, 1527–1529.) Moreover, the California Supreme Court has expressly upheld a reference under section 639 in mechanics-lien litigation where examination of a long account was necessary. (*Barker Bros., Inc. v. Coates* (1931) 211 Cal. 756, 757–758.)

The authority of a referee appointed under section 639 is nevertheless limited. A referee may determine the technical accounting methodology necessary to examine a long account and make factual findings based upon the accounting records, but judicial functions such as contract interpretation and enforceability may not be delegated to the referee. (*De Guere v. Universal City Studios, Inc.* (1997) 56 Cal.App.4th 482, 499–503.) The referee’s findings in a nonconsensual reference are advisory, and the Court independently considers those findings and any objections before deciding whether to adopt them. (Code Civ. Proc., § 644, subd. (b).)

DISCUSSION

A Limited Long-Account Reference Is Warranted

The Court is persuaded that the accounting issues presented here fall within Code of Civil Procedure section 639, subdivision (a)(1).

The need for a reference does not arise merely because this is a large construction project or because substantial sums are at issue. Rather, determining the amounts claimed requires reconciliation of multiple interrelated construction accounts, including 16 payment applications, change orders, retention, multiple sources of payment and financing, numerous subcontractors and suppliers at different contractual tiers, and potentially overlapping lien claims that must be identified and accounted for in determining net amounts.

BMR argues that each lien ultimately involves the relatively straightforward statutory calculation of the lesser of the contract price or reasonable value, subject to applicable deductions. That describes the legal measure of the lien but does not eliminate the accounting necessary to establish the factual amounts to which that measure will be applied. Section 639, subdivision (a)(1), asks whether trial of an issue of fact requires examination of a long account; it does not require that the underlying statutory cause of action itself expressly mandate an accounting. (*United States Fidelity & Guaranty Co.*, supra, 204 Cal.App.3d at pp. 1527–1529.)

Nor is *Barker Bros.* rendered inapplicable because it was decided in 1931. It remains a decision of the California Supreme Court directly recognizing the propriety of a section 639 long-account reference in mechanics-lien litigation. (*Barker Bros.*, supra, 211 Cal. at pp. 757–758.)

The fact that discovery is ongoing likewise does not require denial of the motion. Section 639, subdivision (a)(1), contains no requirement that discovery be completed before a reference may be ordered. The referee's accounting necessarily will proceed upon records obtained through the ordinary discovery process. (*De Guere*, supra, 56 Cal.App.4th at pp. 499–500.) The present order does not appoint the referee as a discovery referee under section 639, subdivision (a)(5), and does not authorize the referee to adjudicate discovery disputes.

The Scope Proposed in the Motion Is Overbroad

BMR is correct that the reference cannot extend to all matters described in Truebeck's original motion.

In particular, the referee will not be authorized to determine whether a mechanic's lien is legally "valid." Those determinations may implicate statutory notice and recordation requirements, timeliness, waiver, subordination, priority, contract interpretation, and other matters reserved to the Court. Nor will the referee make the ultimate determination of reasonable value under Civil Code section 8430.

Consistent with *De Guere*, the reference shall instead be limited to the technical accounting examination necessary to assist the Court. Subject to further refinement in the written appointment order, the referee may:

1. Examine and reconcile the construction accounts, payment applications, invoices, approved or disputed change orders, retention records, credits, and payment records relevant to Truebeck's and the Trade Partners' lien amounts;
2. Determine and report the amounts billed, approved, paid, credited, retained, or remaining unpaid as reflected in the accounting records;
3. Trace payments and relevant funding sources to the extent necessary to reconcile the construction accounts;
4. Identify duplication or overlap among amounts asserted by Truebeck and the Trade Partners and calculate the resulting accounting balances; and

5. Identify disputed accounting entries or methodologies and report the referee's factual findings and accounting conclusions to the Court.

The referee shall not determine statutory lien validity, compliance with statutory notice or recordation requirements, waiver, subordination, lien priority, contract interpretation or enforceability, fraud, alter ego, or other legal or equitable defenses. The referee shall not decide issues presented in any pending dispositive motion. To the extent resolution of the accounting depends upon a legal determination reserved to the Court, the referee may request instructions or report alternative calculations based upon the competing assumptions, leaving the underlying legal determination to the Court. (*De Guere*, supra, 56 Cal.App.4th at pp. 499–503.)

The referee's report and recommendations shall be advisory only. (Code Civ. Proc., § 644, subd. (b).) The Court retains ultimate responsibility for deciding the lien claims and will independently consider the referee's findings, together with any objections and responses.

Selection of Referee and Compensation

The Court will determine the specific referee and compensation terms by separate written order complying with Code of Civil Procedure section 639, subdivision (d), and California Rules of Court, rule 3.922.

Truebeck has submitted three proposed referees. Because BMR opposes the reference and the Court has materially narrowed its scope, any party wishing to submit nominees pursuant to Code of Civil Procedure section 640, subdivision (b), shall file and serve its nominees no later than **September 17, 2026**. Truebeck may stand on the nominees already submitted with its motion.

Any party contending that it has an economic inability to pay a pro rata share of the referee's fees under Code of Civil Procedure section 639, subdivision (d)(6), shall file and serve supporting evidence by **September 17, 2026**. The Court will determine a fair and reasonable interim apportionment of the reference costs after selection of the referee and consideration of the anticipated cost of the reference.

No later than **September 21, 2026**, the parties shall meet and confer and Truebeck shall lodge a proposed written appointment order complying with Code of Civil Procedure section 639, subdivision (d), and California Rules of Court, rule 3.922, including the referee's name and contact information, the maximum hourly rate, any proposed initial limitation on compensable hours, allocation of fees, the scope of the reference consistent with this ruling, and the extent, if any, to which court facilities or personnel may be used. If the parties cannot agree on the contents of the proposed order, any opposing party may lodge a competing proposed order on the same date.

Before beginning service, the referee selected by the Court shall file the certification and make the disclosures required by California Rules of Court, rule 3.924.

Truebeck's request that referee fees be declared recoverable by the prevailing party at this stage of the litigation is **DENIED WITHOUT PREJUDICE**. The Court reserves all issues concerning ultimate recovery or reallocation of referee fees until an appropriate later stage of the proceedings.

ORDER

Truebeck's Motion for Appointment of a Referee to Take a Long Account is **GRANTED IN PART**, subject to the limitations stated above. The Court finds that examination of a long account is warranted under Code of Civil Procedure section 639, subdivision (a)(1), but declines to delegate the ultimate validity of the mechanics liens, the determination of reasonable value under Civil Code section 8430, or other legal or equitable issues to the referee.

The specific referee, compensation, allocation of fees, and other matters required by Code of Civil Procedure section 639, subdivision (d), and California Rules of Court, rule 3.922, will be determined by further written order.

The reference does not stay discovery, pending motions, or other proceedings in these consolidated actions absent further order of the Court.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the moving party shall prepare a written order consistent with the Court's ruling for the Court's signature pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court. The Court directs the parties to San Mateo County Superior Court Local Rule 3.403(b)(iv) regarding the wording of proposed orders.

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LINE: 7

24-CIV-02988

FRANCISCO JAVIER OROZCO-LOPEZ, ET AL VS. NICOLE RENEE CAZARES, ET AL

FRANCISCO JAVIER OROZCO-LOPEZ
NICOLE RENEE CAZARES

DANIEL J. RAFII
IAN A. SCHAEFFER

DEFENDANTS ALEJANDRO CAZARES and NICHOLE CAZARES' MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION

TENTATIVE RULING:

For the reasons stated below, Defendants Alejandro Cazares and Nichole Renee Cazares' Motion for Summary Judgment is **GRANTED**. Defendants' alternative request for summary adjudication is **MOOT**.

The Court notes that Defendants' motion papers do not identify the location of the hearing as required by California Rules of Court, rule 3.1110(b)(1). Department 2 is located at the Northern Branch, Courtroom K, 1050 Mission Road, South San Francisco, California 94080. Plaintiffs, however, obtained the order continuing the hearing on this Motion to September 10, 2026, and no prejudice from the omission is shown. The Court therefore considers the Motion on its merits.

A defendant moving for summary judgment bears the initial burden of showing that one or more elements of the plaintiff's cause of action cannot be established or that a complete defense exists. (Code Civ. Proc., § 437c, subd. (p)(2).) If that burden is met, the burden shifts to the plaintiff to demonstrate a triable issue of material fact. (Ibid.) In determining the motion, the Court does not weigh the evidence and must view the evidence and reasonable inferences in the light most favorable to the opposing party. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843; *Weiss v. People ex rel. Department of Transportation* (2020) 9 Cal.5th 840, 864.)

Plaintiffs' sole cause of action is for negligence arising from a March 14, 2023 automobile collision involving a vehicle registered to Defendant Alejandro Cazares. Defendants contend that the vehicle had been taken and driven without their permission by an unidentified third party and that Defendants therefore owed Plaintiffs no duty with respect to that person's operation of the vehicle. The evidence submitted in support of the Motion establishes that the vehicle had been parked at Defendants' residence; the vehicle's keys were accounted for; the driver was not a permitted user; the members of Defendants' household identified in the evidence were elsewhere at the time of the collision; and Plaintiffs' own testimony does not identify either Defendant or a member of their household as the driver.

Ordinarily, absent special circumstances, the owner of a motor vehicle owes no duty to protect third persons from injuries caused by a thief or other unauthorized person who takes and operates the vehicle. (*Richards v. Stanley* (1954) 43 Cal.2d 60, 65–66; *Murphy v. Pina* (2025) 115 Cal.App.5th 305.) Special circumstances may give rise to a duty where the circumstances create an unusually foreseeable risk that the vehicle will be taken and negligently operated. (*Hergenrether v. East* (1964) 61 Cal.2d 440, 444–445.) Examples include leaving a